

UNIT II

Human Resource Development (HRD)

Introduction

Human Resource Development (HRD) is a continuous process of improving the knowledge, skills, abilities, attitudes, and competencies of employees to enhance their performance and prepare them for future responsibilities. HRD focuses on employee growth, career development, and organizational effectiveness by creating a learning-oriented work environment.

Definition (Leonard Nadler):

"Human Resource Development is a series of organized activities conducted within a specified time to produce behavioural change and improve employee performance."

Objectives of HRD

1. Improve Employee Knowledge and Skills

To enhance employees' competencies through continuous learning and development.

2. Increase Employee Performance

To improve individual and organizational productivity.

3. Prepare Future Leaders

To develop employees for higher positions and future responsibilities.

4. Enhance Job Satisfaction

To improve employee motivation, morale, and commitment.

5. Support Organizational Growth

To align employee development with organizational goals and future needs.

6. Promote Continuous Learning

To encourage employees to continuously upgrade their knowledge and skills.

Importance of HRD

- Improves employee productivity.
 - Develops future leaders.
 - Increases employee motivation and morale.
 - Reduces employee turnover.
 - Encourages innovation and creativity.
 - Improves organizational competitiveness.
 - Supports career growth and succession planning.
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Elements of HRD

1. Training and Development

Training improves employees' current job skills, while development prepares them for future responsibilities. HRD organizes training programmes, workshops, seminars, and skill development activities to enhance employee competence.

2. Performance Appraisal

Performance appraisal is the systematic evaluation of employee performance. It helps identify strengths, weaknesses, training needs, promotions, rewards, and areas for improvement.

3. Career Planning

Career planning helps employees identify career goals and provides opportunities for career growth through promotions, transfers, mentoring, and development programmes.

4. Leadership Development

Leadership development focuses on preparing employees for managerial and leadership roles. HRD develops decision-making, communication, problem-solving, and leadership skills through coaching and mentoring.

5. Talent Management

Talent management involves attracting, developing, retaining, and utilizing talented employees. It ensures that high-performing employees are identified and prepared for key positions within the organization.

6. Knowledge Management

Knowledge management is the process of creating, sharing, storing, and utilizing organizational knowledge. HRD encourages employees to exchange ideas, best practices, and experiences to improve innovation and organizational learning.

7. Employee Counselling

Employee counselling helps employees overcome personal, emotional, and work-related problems. It reduces stress, improves mental well-being, enhances job satisfaction, and increases employee productivity.

8. Succession Planning

Succession planning identifies and prepares capable employees to replace key positions in the future. It ensures leadership continuity and minimizes disruption when senior employees retire or leave the organization.

9. Employee Engagement

Employee engagement focuses on building employees' emotional commitment to the organization. HRD promotes participation, recognition, teamwork, communication, and motivation to improve employee involvement and performance.

Human Resource Accounting (HRA)

Introduction

Human Resource Accounting (HRA) is the process of identifying, measuring, recording, and reporting the cost and value of human resources in an organization. It recognizes employees as valuable organizational assets and helps management make better decisions regarding recruitment, training, development, and employee utilization.

Definition (R.G. Barry Corporation):

"Human Resource Accounting is the process of identifying, measuring, and communicating information about human resources to facilitate effective management decisions."

Objectives of Human Resource Accounting

1. Measure the Value of Human Resources

To determine the cost and economic value of employees.

2. Assist Management Decisions

To support decisions related to recruitment, training, promotion, and employee development.

3. Improve Human Resource Utilization

To ensure effective utilization of employees' skills and abilities.

4. Evaluate HR Investments

To assess the return on investments made in recruitment, training, and development.

5. Support Organizational Planning

To provide useful information for manpower planning and strategic decision-making.

Importance of Human Resource Accounting

- Recognizes employees as valuable assets.
 - Helps in manpower planning.
 - Supports investment decisions in training and development.
 - Improves employee utilization.
 - Assists in cost control and performance evaluation.
 - Enhances organizational productivity.
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Models of Human Resource Accounting

A. Cost-Based Models

Cost-based models measure employees based on the **cost incurred by the organization**.

1. Historical Cost Model

This model records the actual costs incurred on recruitment, selection, hiring, training, and development of employees. These costs are treated as investments and are amortized over the expected service life of employees.

Example:

A company spends ₹80,000 on recruiting and training an employee. This amount is treated as the employee's historical cost.

2. Replacement Cost Model

This model estimates the current cost of replacing an existing employee with another employee having similar qualifications and experience. It includes recruitment, selection, training, and induction costs.

Example:

If replacing an experienced HR Manager today costs ₹6 lakh, then ₹6 lakh represents the replacement cost.

3. Opportunity Cost Model

This model values employees based on the opportunity lost when they are assigned to one department instead of another. It is mainly used for employees whose services are in high demand within the organization.

4. Standard Cost Model

Employees are valued based on predetermined standard costs for different job categories instead of actual costs. It simplifies cost estimation and budgeting.

5. Acquisition Cost Model

This model measures the total cost incurred in acquiring an employee, including recruitment, selection, placement, induction, and initial training costs.

B. Value-Based Models

Value-based models estimate the **economic value that employees contribute** to the organization.

1. Lev and Schwartz Model

Developed by **Lev and Schwartz (1971)**, this model values employees based on the **present value of their expected future earnings** until retirement. It assumes that an employee's future earnings represent their value to the organization.

Example:

If an employee is expected to earn ₹80 lakh during the remaining years of service, the present value of those future earnings represents the employee's value.

2. Flamholtz Model

Developed by **Eric Flamholtz**, this model measures employee value based on the **expected value of future services** the employee is likely to provide to the organization. It considers promotions, transfers, probabilities of different career paths, and the likelihood of the employee remaining with the organization.

3. Economic Value Model

This model estimates employee value based on the economic contribution they make to organizational profitability, productivity, and long-term growth.

Kinds of Costs in Human Resource Accounting**1. Recruitment Cost**

Expenses incurred in advertising vacancies, conducting interviews, and selecting candidates.

2. Selection Cost

Costs associated with selection tests, interviews, medical examinations, and background verification.

3. Hiring and Placement Cost

Expenses incurred in appointing employees and placing them in suitable jobs.

4. Training and Development Cost

Costs of induction programmes, training sessions, workshops, seminars, and skill development.

5. Compensation Cost

Employee salaries, wages, incentives, bonuses, allowances, and other financial benefits.

6. Employee Welfare Cost

Expenditure on health and safety, insurance, canteen, transport, recreation, and welfare facilities.

7. Separation Cost

Costs arising from employee resignation, retirement, termination, retrenchment, exit interviews, and settlement of employee benefits.

8. Turnover Cost

Losses due to employee turnover, including replacement costs, productivity loss, and retraining expenses.

Training and Development

Introduction

Training and Development is an important function of Human Resource Management that focuses on improving employees' knowledge, skills, abilities, and attitudes. It helps employees perform their current jobs effectively and prepares them for future responsibilities. While **training** focuses on present job performance, **development** focuses on long-term career growth and leadership abilities.

Definition (Edwin B. Flippo):

"Training is the act of increasing the knowledge and skills of an employee for doing a particular job."

Training

Meaning

Training is a planned and systematic process of improving an employee's knowledge, technical skills, and abilities required to perform the present job effectively. It helps employees adapt to new technologies, work methods, and organizational requirements.

Development

Meaning

Development is a continuous process of enhancing employees' overall personality, managerial abilities, decision-making skills, and leadership qualities to prepare them for future responsibilities and career advancement.

Objectives of Training and Development

1. Improve Employee Skills

To enhance employees' technical, managerial, and interpersonal skills.

2. Increase Productivity

To improve employee efficiency and overall organizational performance.

3. Improve Quality of Work

To reduce errors, improve accuracy, and maintain high-quality standards.

4. Adapt to Technological Changes

To help employees learn new technologies, tools, and work processes.

5. Prepare Employees for Future Roles

To develop employees for promotions and higher responsibilities.

6. Improve Employee Confidence

To build confidence and competence in performing job responsibilities.

7. Reduce Accidents and Errors

To ensure employees understand safe work practices and correct procedures.

8. Achieve Organizational Goals

To align employee capabilities with organizational objectives.

Importance of Training and Development

1. Enhances Employee Performance

Employees perform their duties more effectively after acquiring new knowledge and skills.

2. Increases Productivity

Well-trained employees complete work faster with better quality and fewer mistakes.

3. Improves Employee Motivation

Learning opportunities increase employee confidence, morale, and job satisfaction.

4. Supports Career Growth

Development programmes prepare employees for promotions and leadership positions.

5. Reduces Employee Turnover

Employees are more likely to stay with organizations that invest in their development.

6. Encourages Innovation

Employees become more creative and adaptable to new ideas and technologies.

7. Improves Organizational Competitiveness

A skilled workforce enables the organization to compete effectively in the market.

Methods of Training

Introduction

Training methods are the techniques used by organizations to improve employees' knowledge, skills, abilities, and job performance. These methods are broadly classified into **On-the-Job Training (OJT)** and **Off-the-Job Training (Off-JT)**. The choice of method depends on the nature of the job, organizational needs, and employee requirements.

I. On-the-Job Training Methods

On-the-job training is provided **at the workplace** while employees perform their actual job. Employees learn by doing the work under the guidance of experienced supervisors or co-workers.

1. Coaching

Coaching is a method in which a supervisor or experienced employee provides individual guidance, instruction, and feedback to help an employee improve job performance and develop specific skills.

2. Mentoring

Mentoring involves an experienced senior employee (mentor) guiding and supporting a junior employee (mentee). The mentor provides career advice, shares knowledge, and helps in the employee's professional and personal development.

3. Job Rotation

Job rotation involves moving employees from one job or department to another at regular intervals. It helps employees gain diverse skills, reduce boredom, and understand different organizational functions.

4. Buddy System

In the buddy system, a new employee is paired with an experienced employee (buddy) who helps them understand the workplace, organizational culture, policies, and daily work activities during the initial period.

5. Job Instruction Training (JIT)

Job Instruction Training is a step-by-step training method where the trainer explains the job, demonstrates how to perform it, allows the employee to practise, and provides feedback until the employee can perform the job independently.

6. Shadowing

Shadowing allows an employee to observe an experienced employee while they perform their duties. By watching and learning, the trainee gains practical knowledge of job responsibilities, work methods, and decision-making.

Advantages of On-the-Job Training

- Learning while working.
 - Low training cost.
 - Immediate practical experience.
 - Better understanding of job responsibilities.
 - Faster adaptation to the workplace.
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II. Off-the-Job Training Methods

Off-the-job training is conducted **away from the actual workplace** in classrooms, training centres, or educational institutions. Employees learn through discussions, simulations, and practical exercises without affecting regular work.

1. Case Study Method

Employees analyse real or hypothetical business problems, discuss alternative solutions, and develop decision-making and problem-solving skills.

2. Vestibule Training

Vestibule training provides practical training in a simulated work environment using equipment and machines similar to those used in the actual workplace before employees begin real work.

3. Conferences

Conferences bring together employees, managers, experts, and professionals to discuss industry trends, organizational issues, and best practices while encouraging the exchange of ideas.

4. Seminars

Seminars are educational sessions conducted by experts to improve employees' knowledge on specific topics through lectures, presentations, and discussions.

5. Role Playing

In role playing, participants act out workplace situations by assuming different roles. This method develops communication, leadership, negotiation, customer service, and interpersonal skills.

6. Simulation Training

Simulation training creates realistic work situations using simulators or computer-based models. It allows employees to practise handling complex tasks and emergencies without any risk to the actual workplace.

Advantages of Off-the-Job Training

- Provides a distraction-free learning environment.
- Develops theoretical and conceptual knowledge.
- Improves problem-solving and decision-making skills.
- Suitable for developing managerial and leadership abilities.
- No disruption to regular workplace activities.

Performance Appraisal

Introduction

Performance Appraisal is a systematic process of evaluating an employee's job performance, skills, achievements, behaviour, and potential over a specific period. It helps organizations measure employee performance, provide feedback, identify training needs, and make decisions regarding promotions, rewards, transfers, and career development.

Definition (Edwin B. Flippo):

"Performance appraisal is the systematic, periodic and impartial rating of an employee's excellence in matters pertaining to his present job and his potential for a better job."

Objectives of Performance Appraisal

1. Evaluate Employee Performance

To measure employees' performance against predetermined standards and organizational goals.

2. Provide Performance Feedback

To inform employees about their strengths, weaknesses, and areas for improvement.

3. Identify Training and Development Needs

To determine the knowledge and skill gaps and plan suitable training programmes.

4. Support Promotion and Transfer Decisions

To provide a fair basis for promotions, transfers, demotions, and career advancement.

5. Determine Compensation and Rewards

To link employee performance with salary increments, bonuses, incentives, and other rewards.

6. Improve Employee Motivation

To recognize employee achievements and encourage higher levels of performance.

7. Support Career Planning

To identify employees with high potential and prepare them for future leadership roles.

8. Achieve Organizational Goals

To align individual employee performance with organizational objectives.

Importance of Performance Appraisal

1. Improves Employee Performance

Regular evaluation and feedback help employees improve their work quality and productivity.

2. Enhances Employee Motivation

Recognition of good performance increases employee confidence, morale, and job satisfaction.

3. Facilitates Career Development

Performance appraisal helps identify talented employees for promotions, succession planning, and leadership development.

4. Identifies Training Needs

It helps organizations organize appropriate training programmes to improve employee competencies.

5. Supports Fair HR Decisions

It provides objective information for decisions related to promotions, transfers, salary revisions, and rewards.

6. Strengthens Communication

Performance discussions improve communication between employees and supervisors, building trust and understanding.

7. Increases Organizational Productivity

Better employee performance contributes to higher productivity and improved organizational effectiveness.

Characteristics of Performance Appraisal

- It is a **systematic and continuous** process.
 - It evaluates both **performance and potential**.
 - It is based on **predefined performance standards**.
 - It provides **constructive feedback** to employees.
 - It supports **employee development** and career growth.
 - It assists in making important HR decisions.
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Advantages of Performance Appraisal

- Improves employee performance.
 - Identifies strengths and weaknesses.
 - Increases employee motivation and job satisfaction.
 - Supports promotions and compensation decisions.
 - Helps identify training and development needs.
 - Improves communication between managers and employees.
 - Enhances organizational effectiveness.
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Limitations of Performance Appraisal

- Personal bias may affect evaluation.
 - Rating errors may reduce fairness.
 - Employees may feel stressed during evaluation.
 - Time-consuming process.
 - Poorly designed appraisal systems may reduce employee motivation.
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Methods of Performance Appraisal

Introduction

Performance appraisal methods are the techniques used by organizations to evaluate employees' performance, abilities, achievements, and potential. These methods help management make decisions regarding promotions, compensation, training, career development, and employee improvement.

Performance appraisal methods are broadly classified into **Traditional Methods** and **Modern Methods**.

I. Traditional Methods of Performance Appraisal

Traditional methods mainly evaluate employees based on their past performance and the supervisor's observation.

1. Ranking Method

In the ranking method, employees are ranked from **best to worst** based on their overall performance. The employee with the highest performance receives the first rank, while the lowest performer receives the last rank.

Example:

If five sales employees are evaluated, they are ranked from **1st to 5th** according to their annual sales performance.

2. Paired Comparison Method

In this method, each employee is compared individually with every other employee. After comparing all possible pairs, the employee who performs better in the greatest number of comparisons receives the highest ranking.

Example:

If there are **5 employees**, each employee is compared with every other employee before preparing the final ranking.

3. Checklist Method

The evaluator is given a checklist containing statements related to employee behaviour, attendance, quality of work, teamwork, punctuality, and discipline. The evaluator simply marks **"Yes" or "No"** (or $\checkmark/X$) against each statement to assess performance.

Example:

The supervisor checks whether an employee is punctual, completes work on time, follows safety rules, and cooperates with colleagues.

4. Graphic Rating Scale Method

Employees are evaluated on various performance factors such as quality of work, communication, teamwork, punctuality, and productivity using a rating scale (for example, **1 to 5** or **Excellent to Poor**).

Example:

An employee receives ratings of **5 for teamwork**, **4 for communication**, and **3 for punctuality**.

5. Essay Method

In the essay method, the supervisor writes a detailed report describing the employee's strengths, weaknesses, achievements, behaviour, and future potential. The evaluation depends on the supervisor's observations and judgment.

Example:

A manager writes a report explaining that an employee consistently meets targets but needs to improve leadership and communication skills.

II. Modern Methods of Performance Appraisal

Modern methods focus on employee performance, objectives, competencies, and continuous development.

1. Management by Objectives (MBO)

Developed by **Peter F. Drucker**, MBO involves setting specific and measurable goals jointly by managers and employees. At the end of the

appraisal period, employee performance is evaluated based on the achievement of these agreed objectives.

Example:

A marketing executive is given a target to **increase online sales by 20% in six months**. If the target is achieved, the employee receives a high performance rating.

2. 360-Degree Feedback

In this method, employee performance is evaluated using feedback from multiple sources, including supervisors, subordinates, peers, customers, and the employee's self-evaluation. It provides a comprehensive view of employee performance.

Example:

A team leader receives feedback from the **manager, team members, customers, and self-assessment** before the final appraisal is prepared.

3. Behaviourally Anchored Rating Scale (BARS)

BARS combines rating scales with specific behavioural examples. Employees are evaluated based on predefined behaviours associated with different performance levels, making the appraisal more objective and accurate.

Example:

A customer service executive is rated "**Excellent**" because they resolve customer complaints politely within the specified time, while another employee receives a lower rating for delayed responses.

4. Human Resource Accounting (HRA) Method

This method evaluates employees based on their economic value to the organization. It considers the costs incurred on recruitment, training, development, and the employee's contribution to organizational performance.

Example:

A software engineer who generates significant revenue and contributes to major projects is valued higher than the cost incurred for recruitment and training.

5. Assessment Centre Method

The Assessment Centre Method evaluates employees through simulations such as group discussions, role plays, case studies, presentations, in-basket exercises, and interviews. It is widely used for promotions, leadership development, and managerial selection.

Example:

Candidates for a **Sales Manager** position participate in **group discussions, role plays, and case study presentations**. Their overall performance is used to determine promotions.

Career Development and Counselling

Introduction

Employees are one of the most valuable assets of an organization. To improve their performance and prepare them for future responsibilities, organizations focus on **Career Development** and **Career Counselling**. Career development helps employees grow professionally, while career counselling guides them in making the right career decisions and overcoming work-related problems. Both improve employee satisfaction, retention, and organizational performance.

Career Development

Meaning

Career Development is the continuous process of improving an employee's knowledge, skills, abilities, and competencies to achieve career growth and prepare for future responsibilities. It is a joint responsibility of both the **employee and the organization**.

Definition:

Career Development is the process of planning and managing an employee's career through continuous learning, training, promotions, and development opportunities.

Objectives of Career Development

1. Develop Employee Competencies

Enhances employees' knowledge, technical skills, and managerial abilities.

2. Prepare Employees for Higher Positions

Develops employees for promotions and leadership roles.

3. Improve Employee Performance

Provides learning opportunities that increase efficiency and productivity.

4. Increase Job Satisfaction

Employees feel motivated when they see opportunities for career growth.

5. Retain Talented Employees

Career advancement opportunities reduce employee turnover.

6. Support Succession Planning

Prepares future managers and leaders for key organizational positions.

7. Achieve Organizational Goals

Develops a skilled workforce that contributes to organizational success.

Career Development Process

1. Self-Assessment

Employees identify their strengths, weaknesses, interests, and career aspirations.

2. Career Goal Setting

Short-term and long-term career objectives are established.

3. Skill Development

Employees improve their knowledge and skills through training, education, and work experience.

4. Career Planning

A career path is prepared with promotions, transfers, job rotation, and development opportunities.

5. Career Implementation

Employees work towards achieving their career goals through continuous learning and performance improvement.

6. Review and Evaluation

Career progress is regularly evaluated, and plans are modified whenever necessary.

Importance of Career Development

- Improves employee skills and competencies.
 - Increases motivation and job satisfaction.
 - Prepares future leaders.
 - Supports succession planning.
 - Reduces employee turnover.
 - Improves organizational productivity.
 - Helps employees achieve long-term career goals.
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Career Counselling

Meaning

Career Counselling is the process of guiding and advising employees regarding their career goals, strengths, weaknesses, opportunities, and career-related problems. It helps employees make informed career decisions and overcome personal and professional challenges.

Objectives of Career Counselling

1. Help Employees Choose the Right Career Path

Provides guidance based on employees' interests, skills, and abilities.

2. Identify Strengths and Weaknesses

Helps employees understand their capabilities and areas needing improvement.

3. Reduce Stress and Work Pressure

Assists employees in managing work-related stress, anxiety, and career confusion.

4. Improve Decision-Making

Enables employees to make better career and professional choices.

5. Increase Job Satisfaction

Employees feel more confident and motivated after receiving proper guidance.

6. Improve Employee Performance

Counselling helps employees overcome obstacles that affect work performance.

7. Support Career Development

Guides employees in setting realistic career goals and preparing development plans.

Counselling Process

1. Identify the Problem

Understand the employee's career or personal concern.

2. Collect Information

Gather information about the employee's qualifications, interests, abilities, and work performance.

3. Analyse the Situation

Identify the causes of the employee's problem.

4. Provide Guidance

Suggest suitable career options, development plans, or solutions.

5. Prepare an Action Plan

Develop a practical plan for improvement or career advancement.

6. Follow-up

Monitor the employee's progress and provide further support if needed.

Importance of Career Counselling

- Helps employees make informed career decisions.
 - Reduces stress and workplace conflicts.
 - Improves confidence and morale.
 - Increases job satisfaction.
 - Enhances employee performance.
 - Supports career growth.
 - Improves employee retention.
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Group Interaction

Introduction

Group Interaction is the process through which two or more individuals communicate, share information, exchange ideas, coordinate activities, and work together to achieve a common goal. Effective group interaction promotes teamwork, trust, cooperation, problem-solving, and better decision-making, leading to higher organizational performance.

Definition:

Group Interaction is the process of communication and cooperation among members of a group to achieve common organizational objectives.

Objectives of Group Interaction

1. Improve Communication

Facilitates the free flow of information and ideas among group members.

2. Promote Teamwork

Encourages cooperation and coordination to achieve common goals.

3. Enhance Decision-Making

Combines the knowledge and experience of different members to make better decisions.

4. Increase Problem-Solving Ability

Different perspectives help in finding effective solutions to organizational problems.

5. Improve Employee Relationships

Builds trust, mutual respect, and a positive work environment.

6. Achieve Organizational Goals

Ensures that all members work together efficiently towards common objectives.

Characteristics of Group Interaction

1. Communication

Members exchange ideas, opinions, and information effectively.

2. Cooperation

Employees work together by supporting each other.

3. Coordination

Activities are synchronized to achieve common objectives.

4. Participation

All members actively contribute to discussions and decision-making.

5. Common Goal

Every member works towards achieving a shared objective.

6. Mutual Trust

Members trust and respect each other's opinions and abilities.

Importance of Group Interaction

- Improves communication among employees.
- Enhances teamwork and collaboration.

- Increases creativity and innovation.
 - Helps solve complex problems.
 - Improves employee motivation and morale.
 - Reduces misunderstandings and conflicts.
 - Increases organizational productivity.
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Example of Successful Group Interaction

NASA Apollo 11 Moon Mission (1969)

The **NASA Apollo 11 Moon Mission** is one of the best examples of successful group interaction. Scientists, engineers, astronauts, technicians, and mission controllers worked together with effective communication, coordination, and teamwork.

Result

- Successfully landed the first humans on the Moon.
- **Neil Armstrong** became the first person to walk on the Moon.
- Demonstrated the importance of teamwork, planning, coordination, and effective communication.

Lesson:

Strong group interaction leads to extraordinary success.

Example of Failure Due to Poor Group Interaction

NASA Challenger Space Shuttle Disaster (1986)

In **1986**, the **NASA Challenger Space Shuttle** exploded shortly after launch. Engineers had warned that the **O-ring seals** could fail in cold weather, but their concerns were not effectively communicated or acted upon by decision-makers.

Result

- The shuttle exploded **73 seconds after launch**.
- All **7 crew members** lost their lives.
- The disaster highlighted failures in communication, coordination, and decision-making. **Lesson:**
Poor group interaction and ignoring expert opinions can lead to catastrophic failure.